Q1 2025 Earnings Call

Company Participants

- Cory Stevens, Senior Vice President, and President of FM Technical Services
- David Joint, Vice President, Investor Relations
- Kathleen L. Quirk, President and Chief Executive Officer
- Maree E. Robertson, Executive Vice President and Chief Financial Officer
- Richard C. Adkerson, Chairman

Other Participants

- Bill Peterson, JPMorgan
- Bob Brackett, Bernstein Research
- Brian MacArthur, Raymond James
- Carlos De Alba, Morgan Stanley
- Christopher LaFemina, Jefferies
- Daniel Major, UBS
- Katja Jancic, BMO Capital Markets
- Lawson Winder, Bank of America Securities
- Liam Fitzpatrick, Deutsche Bank
- Timna Tanners, Wolfe Research

Presentation

Operator

Ladies and gentlemen, thank you for standing by. Welcome to the Freeport-McMoRan First Quarter Conference Call. At this time, all participants are in a listen-only mode. Later, we will conduct a question-and-answer session. (Operator Instructions)

I would now like to turn the conference over to Mr.David Joint, Vice President, Investor Relations. Please go ahead, sir.

David Joint {BIO 3930218 <GO>}

Thank you, Regina, and good morning, everyone. Welcome to the Freeport-McMoRan conference call.

Earlier this morning, we -- FCX reported first quarter 2025 operating and financial results. A copy of today's release with supplemental schedules and slides are available on our website, fcx.com.

Today's conference call is being broadcast live on the Internet. Anyone may listen to the conference call by accessing our website homepage and clicking on the webcast link. In addition to analysts and investors, the financial press has been invited to listen to today's call. A replay of the webcast will be available on our website later today.

Before we begin our comments, we'd like to remind everyone that today's press release and certain of our comments on the call include non-GAAP measures and forward-looking statements, and actual results may differ materially. Please refer to the cautionary language in our press release and slides and to the risk factors described in our SEC filings, all of which are available on our website.

Also on the call with me today are Richard Adkerson, Chairman of the Board of FCX; Kathleen Quirk, President and Chief Executive Officer; Maree Robertson, Executive Vice President and Chief Financial Officer, and other senior members of our management team. Richard will make some opening remarks, Kathleen and Maree will review our slide materials, and then we'll open up the call for questions.

Richard?

Richard C. Adkerson {BIO 1412551 <GO>}

Thank you, David, and thank you all for joining us. Kathleen and our team will review the details of the quarter and our outlook.

Team Freeport is executing well in a complex environment. Over the years, we've had a lot of experience in doing just that, facing problems with resilience and relentlessness, and successfully executing our plans. While policy and tariffs are dominating financial markets, at Freeport, we are focused on the basics to drive long-term value. Our strategy has been clear for many years, centered on being a global leader in copper. We have built our business with large-scale copper-producing assets and a long-term pipeline of organic growth projects, supported by a strong balance sheet and a clearly articulated financial policy.

This strategy places Freeport in a strong position with where the world is heading. Copper is an essential metal for the future, and Freeport is foremost in copper. We also have significant financial exposure to gold in a world-class molybdenum business. Kathleen and our senior management team are engaged in important initiatives to support this strategy. As you will see, we are making significant positive progress. Our team is driving efficiencies and reducing costs, while setting up the next generation of copper development projects, which will have attractive returns for shareholders by delivering more copper to a world with increasing requirements.

Our Freeport team's accomplishments in Indonesia are striking. In the upstream mining at the Grasberg district, and with our massively expanded downstream processing and refining, the smelter is progressing ahead of our earlier targets. We are honored that Indonesia's President, Prabowo inaugurated our precious metals refinery in March. PT-FI celebrated its 58th anniversary in Indonesia this month. My first trip in Indonesia was 35 years ago. I am delighted with our current positive relationship with the government under President Prabowo's leadership. We are well-positioned in working together to secure long-term operating rights for this incredible asset. It is the world's second largest copper mine in one of the world's largest gold mines. All of this would generate large values for all stakeholders for decades to come.

Kathleen?

Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you, Richard. And I am going to start on Slide 3 with our first quarter highlights, where production of copper and gold were in line with our expectations going into the year, incorporating planned maintenance activities at Grasberg. We exceeded expectations on copper sales, and as we flagged in our March 31 update, our gold shipments were impacted by timing. Unit costs were similar to what we guided to in January for the quarter and a bit better than our late March update and we generated $1.9 billion in EBITDA with expectations that margins and cash flows will benefit from improved results in the balance of the year.

Importantly, our annual sales guidance is on track and we expect operating and financial performance to improve significantly in the balance of the year. To put this in context, compared with the first quarter levels, our quarterly copper sales volumes are expected to average about 20% more in the balance of the year. Gold sales are expected to average nearly 4x the first quarter rates, and unit net cash costs are expected to be 30% lower on average in the remaining quarters. This will drive strong performance and free cash flow in the balance of 2025 and continuing over the next several years.

Other notable highlights in the quarter include solid progress on the smelter with repairs tracking ahead of plan, continued momentum on our low-cost leach innovation projects in the U.S., the premium we are receiving on our U.S. copper sales, which we'll talk more about, favorable gold pricing, and the advancement of optionality in our organic growth portfolio. We're well-positioned for the future as a leader in the global copper industry and we remain focused on operational excellence and our innovative and exciting growth pipeline to drive our future results. We took advantage of recent market volatility, as you'll see, and year-to-date have repurchased 2.3 million shares in the open market for approximately $80 million.

On the next slide, Slide 4, we are summarizing our priorities for 2025. We covered these on our January call, and these areas are defining our everyday pursuit of value creation.

The first one is executing our plans safely and efficiently. That remains a top priority. Team Freeport has a history of strong execution, delivering on our planned volumes, cost targets, and capital projects safely and efficiently, while seeking opportunities to capture upside values. Given inflationary pressures in recent years, we're particularly focused on aggressive cost management and driving our costs lower, particularly in the U.S.

A second key focus area is scaling the leach opportunity. We've talked a lot about that in recent years. Achievement of our targets will significantly enhance margins and profitability. We continue to target a 40% increase in our run rate to achieve 300 million pounds per annum by the end of the year and on our path to 800 million pounds per annum in the future.

Third is the PTFI smelter. The team has expedited the repair process and set us up for startup by the end of May. That's about one month sooner than the earlier schedule. Our startup has been de-risked, and success here will be beneficial as we work to extend our operating rights long-term in Indonesia.

We see innovation as a major value driver for our business. We're pursuing aggressively new tools to enable better productivity and cost performance. And we're continuing to build optionality in our growth portfolio for the next generation of copper-producing assets. We have key milestones identified at three major projects that we're pursuing in the Americas.

Turning to the copper markets. We've got some commentary on Slide 5. The market fundamentals remain positive, and that's underpinned by copper's increasing use in the global economy to drive electrification. Copper prices during the quarter traded between $3.94 per pound and $4.53 per pound on the London Metals Exchange, and reached a new high of $5.22 per pound on the U.S. COMEX Exchange in March.

U.S. tariff policy has heavily influenced sentiment on the global economy in recent weeks, but the facts are that copper demand remains strong globally and benefits from the secular trends in major new investments in power infrastructure, technology, decarbonization, and transportation. The U.S. remains strong, supported by rising demand for electrical power, and we are seeing improving demand trends in China, which has been particularly strong year-to-date, and also green shoots in Europe.

The fundamentals of the copper markets are among the most compelling of any commodity. While macro sentiment impacts short-term pricing, we recognize that, market analysts expect a tight market in 2025, and are projecting demand growth to outpace available supplies as we go forward. Freeport is in a great position to increase volumes in the coming years to meet rising demand.

We'll talk about on Slide 6 about U.S. copper pricing and the premiums currently priced in to the U.S. copper market. We present information on regional premiums and the ongoing U.S. investigation on copper for considering a potential tariff. In late February, the Trump administration issued an executive order identifying copper as a critical material, and instructing the Secretary of Commerce to conduct an investigation into the copper market and the impact of imports on national security.

The U.S. currently imports approximately half of its copper requirements. The domestic supplies in the U.S., the rest of them are majority produced by Freeport. The investigation, which is expected to be completed by November and potentially sooner, we'll also cover recommendations to provide incentives to increase domestic production, and policies to strengthen the U.S. copper supply chain, including permitting reforms. While copper is currently exempt from the new tariffs, the outcome of this investigation may lead to tariffs on imported copper, and markets have begun to price in a potential tariff, as you can see from the growing U.S. premium.

For background, the reference price for Freeport's international operations utilized the London Metals Exchange. And in the U.S., which comprises about one-third of our copper sales, our sales contracts are based on the COMEX exchange pricing. Historically, the pricing on the two exchanges have been similar, but in recent months, the U.S. pricing has reflected market expectations for a tariff on U.S. imports. And this premium has widened over time and is currently approximately 13% above LME. This equates to about $0.57 per pound as of yesterday, and that premium currently implies an approximate $800 million bottom-line annual financial benefit on Freeport's U.S. copper sales. For reference, the tariff on steel and aluminum is 25% compared to the current market premium of 13% for copper.

As Freeport has not taken a position on whether or not copper tariffs should be imposed, but we have highlighted in our public comment submission some of the items for consideration, including the potential broader impact of tariffs on the economy, inflation, and where U.S. domestic copper production is currently placed on the global cost curve. We also highlighted in our comments the importance of Freeport to U.S. copper supply, the critical role we play in supplying 70% of the U.S. domestically sourced refined copper, and the opportunity we have at Freeport for U.S. brownfield growth in copper supplies.

In the next slide, we highlight Freeport as America's copper champion, and we appreciate the administration's recognition of copper as a critical mineral and the actions by the U.S. government to provide permitting reforms and incentives to boost domestic production. Freeport is an iconic American copper producer and is by far the largest contributor to the U.S. copper market, with an established and successful franchise dating back to the late 1800s. We employ a large workforce of 39,000 people, including contractors, mostly in rural communities in the U.S. and have earned the trust of the communities where we operate in the Southwestern United States and with our U.S. copper customers, some of whom have placed trust in us to source all of their copper requirements.

Our operations in the United States are fully integrated with mines and smelting and refining facilities, and innovative leach processes that efficiently produce refined cathode. Freeport is well-positioned to grow in the U.S., as you'll see from our pipeline. We've got sizable resource position and brownfield expansion opportunities.

Turning to our global operations for the first quarter on Slide 8. We'll provide some operating highlights by geographic region. Starting with the U.S., we continue to make progress on enhancing efficiencies and improving costs and margins. Our operating teams are benefiting from data analytics to identify the highest value opportunity for efficiency gains, and to assist in decision-making to eliminate efficiency losses. On the cost front, improved retention of our workforce, has allowed us to rebuild skills within our workforce with lower reliance on more expensive contractors. As an example, contractor hours at Morenci, our largest mine in the U.S., are down about 20% over the last few quarters.

As we look forward, we expect production in the U.S. to increase in 2025 compared to 2024, and also to increase further in 2026 and 2027. Absent changes in commodity-based input costs, we're targeting unit costs to trend lower each year over this three-year period. Our autonomous haul truck conversion at Bagdad is going very well. That is going to allow us to test the potential for this application for potential use at other locations in the U.S. At Bagdad, we've already converted 12 of 33 autonomous trucks. We have them in service now, and we expect to have the balance in service over the next several months.

We are confident in further scaling in our innovative leach program. We've got several projects underway using existing technologies to achieve our targeted 40% increase in run rate to 300 million pounds per annum of low-cost copper by year-end 2025. We're also integrating new technology and automation to optimize performance in our basic mining functions, and believe there is significant potential for value creation through meaningful cost reduction, which would enhance margins and expand reserves from known mineralization, which is currently economically limited under our current reserve pricing. We can do this through further using and integrating new technology into our basic operations. We're also continuing to follow and pursue the potential for U.S. legislation to recognize copper as a critical mineral and bring eligibility consistent with other critical minerals for a potential tax credit of 10% of our operating costs in the U.S.

Turning to South America. The team at our Cerro Verde operation posted another solid quarter with improved mill rates, better recoveries, and higher molybdenum volumes that helped us mitigate the impact of lower ore grades. Our unit net cash costs in the quarter were $0.20 per pound lower than the comparable quarter last year. At El Abra in Chile, we are positive about testing an initiative to add heat through our leach process, which has promised to provide incremental near-term production. And we continue to advance a major project at El Abra in partnership with Codelco, which would capitalize on the large resource we have defined and bring substantial scale and operating efficiencies to this high-class mine.

In Indonesia, as we've already discussed, our operating rates in the quarter were impacted by maintenance on one of our SAG mills. That resulted in a 25% reduction in mill rates during the quarter. The maintenance work was timed to coincide with our work to extend our export permit, which was received in mid-March. As we look forward, we expect strong production from Grasberg in the balance of the year, with 2025 annual sales of 1.6 billion pounds of copper and 1.6 million ounces of gold at a net cash credit of $0.47 per pound, meaning our gold revenues will more than offset all of our production costs.

The team has made outstanding progress in completing the smelter repairs, and as I mentioned, we're a bit ahead of schedule. The Precious Metals Refinery, as Richard referenced, was inaugurated by the President of Indonesia in March and is ramping up to full capacity. The successful completion of these projects position us to advance approval for extension of our operating rights in the second half of this year.

Turning to our growth, which we're really excited about. As we look forward, we see a world that will require additional copper supplies to support energy infrastructure, new technologies, and more advanced societies. And Freeport is really well-positioned with an extensive copper resource position in a broad range of projects in various stages of development. These initiatives, as you can see from this chart on Slide 9, totaled 2.5 billion pounds of copper per annum, and those can be developed from Freeport's known resources in jurisdictions where we have established history and experience.

Our projects in Indonesia also have the benefit of high gold content that go along with the copper, so they really are supercharged from an economic standpoint. Because all of these projects are brownfield in nature, we benefit from leveraging existing infrastructure, experienced workforces, and relationships with key stakeholders to move more quickly with less risk than a greenfield project. In the U.S., these projects include the incremental leach volumes of 600 million pounds per annum. As I mentioned, we're already hit the initial target of 200 million and are going 800 million pounds per annum over the next three to five years.

The Bagdad expansion, which we're currently evaluating, and potential expansion to double the production in the Safford LoneStar district, which is an enormous district with enormous amounts of copper that we're excited about the future on. In South America, we and our partner, Codelco, are planning a major expansion at El Abra through the addition of a new concentrator, which would provide 750 million pounds of incremental copper per annum. We're in the process of completing a permit application, and we expect to file the application by the end of this year.

In Indonesia, after successfully developing several world-class underground ore bodies, we're now progressing development of the Kucing Liar development, and we expect to commence production here by the end of this decade, by 2030. We're also conducting additional exploration below our existing deep DMLZ ore body, and we expect that an extension of our operating rights beyond 2041 will set up for additional long-term development options in this highly attractive district.

Our objective is to move quickly to define the opportunities and value potential, and allocate capital on a risk-reward basis to provide profitable growth options for the future. There are additional details on these projects on Slide 25 in the reference materials. As usual, we will continue to be disciplined in our approach, targeting opportunities that enhance long-term value. Several of these projects are in advanced stages, particularly the leach initiative, where we can have near-term impacts. We're providing near-term low costs of incremental pounds, and then we also have medium-term opportunities and longer-term optionality in our portfolio.

I'd now like to ask Maree Robertson to review our financial outlook, and then we'll take your questions. Maree?

Maree E. Robertson {BIO 22544851 <GO>}

Thanks, Kathleen. Just moving to Slide 10, we show our three-year outlook for sales volumes of copper, gold, and molybdenum. Our guidance for the three-year period is consistent with our previous estimates. And for 2025, the U.S. represents 33% of our consolidated copper sales. South America, around 27%, and Indonesia, approximately 40%. And as Kathleen mentioned earlier, continued success in our leaching initiative would provide upside to these estimates.

On Slide 22 of the reference materials, we provide quarterly forecasts, which shows sales in the balance of the year are substantially higher than first quarter levels. Our current estimate for net unit costs for the full-year 2025, using $3,000 for gold and $20 for moly, is approximately $1.50 per pound, lower than our previous guidance of $1.60 per pound. Unit costs in the balance of the year reflect improved operating rates compared with the first quarter. The details of the costs by region are presented on Slide 21 in the reference materials.

Moving to Slide 11. Putting together our projected volumes and cost estimates, we show modeled results for EBITDA and cash flow at various copper prices, ranging from $4 per pound to $5 per pound. These modeled results using the average of 2026 and 2027 with current volume and cost estimates and holding gold flat at $3,000 per ounce and molybdenum flat at $20 per pound. Annual EBITDA would range from over $11 billion per annum at $4 copper to over $15 billion per annum at $5 copper, with operating cash flows ranging from $8 billion per year at $4 to over $11 billion at $5 copper. These estimates assume no premium on our U.S. copper assets -- copper sales. If we apply the current premium of 13%, our EBITDA and operating cash flows would increase by approximately $800 million per annum.

We show sensitivities to various commodities on the right. You will note we are highly leveraged to copper prices, with each $0.10 per pound change equating to approximately $425 million in annual EBITDA. We will also benefit from improving gold prices, with each $100 per ounce change in price approximating $150 million in annual EBITDA. With our long-life reserves and large-scale production, we are well-positioned to generate substantial cash flow to fund future organic growth and cash returns under our performance-based payout framework.

Slide 12 shows our current forecast for capital expenditures in 2025 and 2026. Again, capital expenditures are similar to our previous guidance, expected to approximate $4.4 billion in 2025 and 2026. The discretionary projects approximated $1 billion in 2024 and are expected to approximate $1.6 billion to $1.7 billion per year in 2025 and 2026, with roughly 50% related to the Kucing Liar development and the LNG project at Grasberg. The balance includes acceleration of tailings and other infrastructure to support the Bagdad expansion, the Atlantic Copper CirCular project, which is expected to be completed in the first half of 2026, and allocated capitalized interest.

The discretionary category reflects the capital investments we're making in new value-enhancing projects that, under our financial policy, are funded with the 50% of available cash that is not distributed. These projects, which are detailed on Slide 30 in the reference materials, will benefit our results in the future, and we will continue to be disciplined in allocating capital to projects that enhance our position and generate attractive returns. This is consistent with our track record of efficient capital allocation and value-driven approach.

On Slide 13, we reiterate the financial policy priorities centered on a strong balance sheet, cash returns to shareholders, and investments in value-enhancing growth projects. Our balance sheet is solid with investment-grade ratings, solid credit metrics, and flexibility within our debt targets to execute on our projects. We do not have any significant debt maturities until 2027.

In addition to paying our first quarter base and variable dividends, we have repurchased $80 million of FCX common stock in the open market year-to-date. In total, we have distributed $5 billion to shareholders through dividends and share purchases, since adopting our financial policy of returning 50% of excess cash flow in 2021. And we have an attractive future long-term portfolio, as we've previously discussed, that will enable us to continue to build long-term value for shareholders with the remaining 50%.

We actively monitor current market conditions and carefully manage the timing of our projects to ensure our financial flexibility remains strong. Our global team is focused on driving value in our business, committed to strong execution of our plans, providing cash to invest in profitable growth and return cash to shareholders.

And just on Slide 14, in concluding today's presentation, Freeport's large-scale, our proven producing assets, actionable low-risk growth, leadership in the global copper industry, significant exposure to a rising gold price and an advantageous U.S. footprint all provide a strong foundation for the future.

Thanks for your attention. I'll now hand it back to Kathleen, and we'll take your questions.

Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you, Maree. We're ready for questions.

Questions And Answers

Operator

(Question And Answer)

Ladies and gentlemen, we will now begin the question-and-answer session. (Operator Instructions) And one moment, please, for our first question. And the first question comes from Carlos De Alba with Morgan Stanley. Your line is open.

Q - Carlos De Alba {BIO 15072819 <GO>}

Yes. Good morning, everyone. Thank you very much. Kathleen, I wanted to check with you. What is the expected cost reduction or efficiency gains in terms of volumes that you would expect for the Bagdad autonomous haulage system when it is fully in place and running at capacity? A range would be quite useful just to get a sense of the potential lift in results.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you, Carlos. We're real excited about what the autonomous haulage will allow us to do at Bagdad. This was one of the sites that we had struggled with over the pandemic period in keeping staffing levels. And with high rates of turnover there in this very remote location, it affected our cost structure and our efficiencies. And so what we see here is with this project done, it'll reduce the amount of people we need to hire for an expansion. And it'll leverage us to be able to get consistent and safe results without having to hire people.

So the project itself has an attractive rate of return on its face. The capital costs that we're incurring for that project, and we've got some details in the back reference materials, but the capital cost itself is to convert these haultrucks is in the $80 million range. And the project itself will produce a good rate of return and allow us, again, leverage to expand that operation in the future. So it's strategic for us. It's also very strategic from the perspective of allowing us potentially to adopt this at other sites within the U.S. and it could have meaningful impacts for us.

In general, Carlos, in terms of the targets for our cash costs in the U.S., we have a target to get to within the 2027 timeframe to get to an average cost of in the $2.50 range. We're currently around $3, and we've got projects underway now that will allow us to bring our costs in the U.S. down. And so we're targeting over the next couple of years to get to on average $2.50 per pound, and we're not going to stop there. So the big focus of ours in the U.S. is on bringing down that unit cost to look more like it does in South America, even though we've got lower grades in the U.S.

Q - Carlos De Alba {BIO 15072819 <GO>}

Thank you very much, Kathleen.

Operator

And your next question comes from the line of Liam Fitzpatrick with Deutsche Bank. Your line is open.

Q - Liam Fitzpatrick {BIO 20830172 <GO>}

Good morning, Kathleen. My question is on Indonesia and the new smelter and how that links into the concentrate export permit. Are you aiming to proactively extend the allowance to export concentrate beyond the mid-year point, or could we again see a situation where there are delays to shipments in Q3? And then linked to that, can you give any sort of color or guidance on how long you expect the new smelter to take to ramp up towards full capacity? Thank you.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Okay. Thank you, Liam. I'm going to let Cory talk about the smelter ramp-up, Cory Stevens, and he's over there right now. But in terms of the first question on our sales forecast, we have enough quota within the approved level that we got in March to meet our sales targets for this year. We're assuming that we export through the September timeframe of the license.

And then in the fourth quarter, we would be using our existing smelters, not just the new smelter at Manyar, but also in the established smelter we have at PT Smelting. So within our guidance that we show, that's within our permit limits. If we need to get -- for some reason, if we produce more, we need to get more flexibility, we'll go and speak with the government about it. But at this point in time, we have sufficient room under our permit to meet our sales targets for this year.

The work we're doing on the startup is comprehensive. We're fortunate that Freeport as an organization has a lot of experience with smelters. Of course, we have a smelter in Huelva, Spain that we've operated for some time. We have a smelter here in the U.S. as well. And then we have in partnership with Mitsubishi the smelter in Indonesia. So we're calling on resources, internal resources, external resources, to plan an efficient startup.

And Cory, if you want to add, just some color on our startup plans and how this will play out. Smelters are complex. We understand that, and that's why we've done so much pre-planning. They're complex to start up, and we recognize that. But Cory, why don't you cover how we're planning to sequence the startup?

A - Cory Stevens {BIO 22808168 <GO>}

Sure. Yes. So the mechanical repairs are essentially complete and pre-commissioning and commissioning activities in the area where the fire was are well underway. In the remainder of the facility, the teams have been refining their operating practices and going through drills, and we've been basically operating those facilities, those other unit operations, in preparation to combine everything with the main smelter coming online.

So both furnaces are hot, the boilers are ready, the teams have been practicing. We've got maintenance teams and a number of support from operations and contractors with experience. So in the May timeframe, we're going to start the process up, and we'll essentially ramp up to 100% capacity over a six-month period and plan to run 2026 at 100% capacity throughout.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thanks, Cory.

Q - Liam Fitzpatrick {BIO 20830172 <GO>}

Okay. That's great to hear. Thank you.

Operator

And our next question comes from the line of Katja Jancic with BMO Capital Markets. Your line is open.

Q - Katja Jancic {BIO 21646100 <GO>}

Hi. Thank you for taking my question. Maybe on the potential Bagdad expansion, if I'm not mistaken the feasibility study was completed in '23. So, is the $3.5 billion CapEx still attainable in this environment, especially with tariffs and other inflationary pressures?

A - Kathleen L. Quirk {BIO 6083735 <GO>}

We are reviewing that now, and we do that with all of our projects to keep them fresh. And so we're going through a process to review -- re-review all the economics associated with the project, capital and operating costs. And so that will be part of the decision-making that we make to the end of this year. We want to get the autonomous trucks in place because that will allow us to manage the workforce that we have now. And as I said before, not have to rely on a big hiring program and less experienced people. So that's an important part of it.

We're also doing some work -- some infrastructure work. We've boosted housing. We're doing infrastructure work on our tailings facilities to put us in a position so that when we do make a decision, we can do it in a de-risked fashion, in a more fast-track fashion. But we want to make sure that the economics are robust. These are -- this is an option for us. It is -- with the reserves are there, and this will allow us to bring forward those values and bring forward reserves. But we -- it's not something we have to do, and we can assess the right timing. We want to bring it to market at a time when we can do it efficiently and generate the returns. So that will be part of our analysis, Katja , as we go through the balance of this year, and to your point, to better understand the tariffs as well.

Q - Katja Jancic {BIO 21646100 <GO>}

Thanks, Kathleen.

Operator

And your next question comes from the line of Timna Tanners with Wolfe Research. Your line is open.

Q - Timna Tanners {BIO 6766897 <GO>}

Hey, good morning. I wanted to ask a bigger picture question, if I could, in light of the different levels of support being provided to the copper industry from the U.S. government, are there any measures that you can take to accelerate some of these efforts? Do you think about adding smelting? The world is oversupplied, clearly, but not in the U.S. Any update on the 45x benefits? I'd just like to hear about what incremental you might be able to do, given the new initiatives that we hear about from the Trump administration. Thanks again.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thanks, Timna. Actually, Freeport is in a terrific position to expand its U.S. production. We already had several things underway. As we talked about, we're fully integrated. So we're producing concentrate, and those go to our smelter in Arizona. We also -- a big part of what we do in the U.S., as you know, is leach production where we don't need a smelter and we can produce leach pounds very efficiently. We were already on that path to increase our leach production capacity and, again, produce refined copper.

We've got innovation around leaching concentrate. We've got a facility, which we're expanding in the U.S. to leach concentrates. Again, that avoids the big capital intensity of a smelter. And then potentially, longer run can look at potentially expanding the Miami smelter to produce more cathode. There even is a potential -- one of the areas that the U.S. is interested in is there's a lot of scrap produced in the U.S. that ends up getting exported. We're going to look into, can Freeport use existing infrastructure and low capital intensity projects to potentially process scrap material in the U.S.?

So, of all the things out there that you hear about, Freeport really is in a good position because our projects are brownfield in nature. We have infrastructure. We have the workforce in the area. We have community support. And so, I feel in many ways that Freeport is the poster child when it comes to what the U.S. is trying to achieve in bringing back, expanding copper production in the U.S.

Now, we recognize that the U.S. has some real positives in its regulatory framework, but the resources, as you're aware, are generally lower grade or more mature and generally lower grade than some of the operations internationally. So that's where these incentives come in to really support not only the base production in the U.S., but incentivize new investments and new production. And that's why we're interested in the 45x potential credits where the executive order already says that copper is a critical mineral, but we need to have legislation to modify the Treasury regulations to allow for copper to be listed under 45x of the IRA to be eligible for the 10% production credit.

That would be very, very be very, very helpful. But as you know, with tax policy, there's lots of pluses and minuses and give and takes going on. And so we'll just have to keep advocating for the benefits to the U.S. National Security of having copper produced domestically. And that's something that we'll continue to work on. But Timna, we have great opportunities in the U.S. This LoneStar District has a huge resource. We have visions that the LoneStar Safford District could be another Morenci with both leach production and concentrate production in the future. Of course, we talked about Bagdad. We talked about our leach initiative. So we're in really good position to help the U.S. and its objectives to bring more copper production into the U.S.

Q - Timna Tanners {BIO 6766897 <GO>}

Okay. Thanks for the overview. We'll look forward to updates from you and from the administration. Thanks again.

Operator

And your next question comes from the line of Daniel Major with UBS. Your line is open.

Q - Daniel Major {BIO 17993795 <GO>}

Hi. Thanks for taking my questions. Can I ask a question on the change in the cost guidance for North America? I noticed site production and delivery costs have increased somewhat, albeit not that much. But note -- in Note 6 in the presentation, it said that this excludes the impact of additional tariff costs. Can you give us a sense of what those impacts are? I think you mentioned a 5% increase in cost of purchased inputs. How much of your cost base does that account for? And what's the upside to this number if you're unable to mitigate some of those impacts?

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you for the question. We did disclose in our earnings release, when these tariffs came out, we began talking with our suppliers. The direct impacts that we have and where we're the vendor of record are material, and we are working to diversify our supply chains to mitigate those impacts.

The bigger impact as we're working with our suppliers is potentially the cost that they incur on the various components that they purchase. And as you can imagine, it gets complicated because it's just not one supply chain, they have -- when they're fabricating something, they have multiple supply chains that are involved. And so they're going through an analysis themselves to understand what the potential impacts are and what they can do to potentially diversify their sources to mitigate these impacts.

When we look at our overall costs in the U.S., about 40% of those costs are related to labor and services that wouldn't be subject to tariffs. So it's the balance, the other piece that we applied the estimate of 5% to. Of that, when you look at the components of the potential 5% impact, the biggest driver is the 145% Chinese tariff. And while the dollar amount -- as we've talked with our vendors, the dollar amount of Chinese purchase components in their supply chain is not significant, the magnitude of 145% is what adds up quickly. And so if that's reduced and if we can mitigate that, this tariff impact will be reduced significantly, potential impact will be reduced significantly.

I'm confident that working with our suppliers, we can find ways to mitigate these impacts. We wanted to set up a system to really understand the various components so that when we get an attempt from a vendor to pass through something that we can confirm and verify and that we can work collaboratively with them to source products that do not have high tariffs with them. So I feel confident that we can mitigate this. We all would love to see more certainty and these issues get resolved because it does impact these conversations and trade flows, et cetera, but I do feel confident that we can find ways to mitigate these potential impacts.

Q - Daniel Major {BIO 17993795 <GO>}

Okay. Thanks. Sorry, just a quick follow-up on the same subject. What proportion of the cost base is exposed to energy, particularly oil? Obviously, we're seeing some benefit there.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

We haven't -- we have not -- we basically use the same oil price assumption in our guidance that we used at the start of the year, and you are right to say that there is benefit. We purchased about 100 million gallons of diesel in the U.S., and right now, the price is probably $0.20 a gallon or so less than what we assumed in our original forecast going into the quarter.

Q - Daniel Major {BIO 17993795 <GO>}

Great. Thanks a lot.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Electricity is another component, and we have seen some pressures in that area. We have seen some slight pickup in electricity, but just in the oil component, that is -- and when I am talking about 100 million gallons, that is specific to North America.

Q - Daniel Major {BIO 17993795 <GO>}

Great. Thanks a lot.

Operator

Your next question comes from the line of Chris LaFemina with Jefferies. Your line is open.

Q - Christopher LaFemina {BIO 7383500 <GO>}

Hi. Thanks, operator. Hi, Kathleen, Richard, Maree. Hope you are doing well.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Hi, Chris. (inaudible)

Q - Christopher LaFemina {BIO 7383500 <GO>}

I just wanted to ask on the buyback. So you have been running at a net debt level that's well below your targeted net debt threshold, and you are kind of entering this period now where free cash flow should materially improve. I mean, you have this COMEX premium, you have high gold prices, you are going to have rising volumes, plus in the U.S. coming down. I mean, everything is kind of heading in the right direction, and cash flow should get very strong. And your share price has been kind of a victim of the macro, and it has been relatively weak, recovering a little bit now, but still at a low level.

And back when your stock was in the 50s and free cash flow was zero, it made sense to maybe not be really accelerating the pace of the buybacks. But I would think where we are today and where you are heading, the attractiveness of repurchasing your shares really almost cannot be beat. And especially when you consider, if the focus is on kind of pivot to growth, you can shrink your share count. You can grow your volumes on a per share basis in an accretive way. And you can use free cash flow to do that and maintain a very strong balance sheet, which is a pretty compelling combination of factors.

So just really wondering, how you think about, potentially ramping up the buyback if market conditions continue to be as they are. I mean, stock in the 30s, do you just buyback more aggressively now, or do you want to save money for the capital projects you have in the pipeline? Thank you.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you for that, Chris. And we're balancing all those things. But we agree with what you -- with everything you just said, and particularly as we go through the balance of this year, we've got -- in the first quarter, we had this maintenance and some timing in the numbers, but as we go through the balance of the year, our cash flow should improve.

You highlighted the potential premium. If that continues, that will allow us to have more free cash flow, that goes right to the bottom-line. And so, we see the disconnect in the long-term outlook for the company in terms of what the value of these assets are relative to how our stock has been performed relative to these macro issues. And so we really want to be aggressive about the buyback, but we also want to make sure we're balancing our objectives to maintain a strong balance sheet and to pursue our growth plan. So, we're going to be balancing all of that. We've got an established policy to direct free cash flows to shareholder returns. And as cash flows -- free cash flows increase, that will give us this opportunity. So -- but in general, everything you said we agree with.

And Richard, I don't know if you want to add anything to those comments.

A - Richard C. Adkerson {BIO 1412551 <GO>}

Chris, I'll just say, I'm totally in line with what you said. As Chair of the company and shareholder, I agree totally with that. We're going to be -- history has taught us to be disciplined, but we're in such good shape. And as cash flows increase, we will talk with our Board, and I believe we'll have great support for buying more shares back.

Q - Christopher LaFemina {BIO 7383500 <GO>}

That's great. Thank you for that.

Operator

Our next question comes from Bob Brackett with Bernstein Research. Your line is open.

Q - Bob Brackett {BIO 15346675 <GO>}

Thanks. Good morning. Returning back to Bagdad 2x expansion, if I think about the discretionary CapEx being put into Bagdad 2x expansion this year, it's almost $0.5 billion. You've slated a few hundred million, $300 million perhaps next year. If the price of admission is $3.5 billion and you've effectively sunk approaching $800 million, the investment decision is always going to be a money-forward decision. And doesn't that just make it more and more obvious that Bagdad 2x is going to move forward?

A - Kathleen L. Quirk {BIO 6083735 <GO>}

One thing to keep in mind on the money we're spending right now at Bagdad, a good bit of that is money that we would have to spend in any case in the future to build up the infrastructure for tailings. So at some point you run out of tailings storage and you need the storage there that we'd need over time. So the money that we're spending now doesn't commit us to the project, it just accelerates when we would have otherwise had to spend the money. So it's really a low-risk investment that we're making to put us in a position that when the project is ready to go, when the decision is made, that we don't have to spend the money and we don't have to take the time to put the starter dam in.

So this funding that we're doing now is not part of the $3.5 billion. There may be some small amounts that's part of the $3.5 billion, but this funding is principally related to tailings infrastructure that we'd have to do anyway down the road. We're calling it discretionary because we don't have to do it now. So if we decided tomorrow not to move forward right now with Bagdad, we'd probably defer this spending on the tailings infrastructure.

Q - Bob Brackett {BIO 15346675 <GO>}

Very clear. Thanks for that.

Operator

And your next question comes from the line of Lawson Winder with Bank of America Securities. Your line is open.

Q - Lawson Winder {BIO 16002509 <GO>}

Thank you very much, operator. Good morning, Richard, Kathleen, and Maree. Thank you for fitting me in. Just thinking about the U.S. policy environment and the fact that Freeport is by far the largest player in the United States, and then looking at it from a merger and acquisition overlay point of view, I mean does it make sense for Freeport to potentially be accumulating assets in the U.S. today? Thank you.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

We always look -- Lawson, we always look at opportunities. We have a very sizable resource position in the U.S. We have the leach stockpiles, which is a huge resource, and then we additionally have very significant undeveloped resources in our footprint. So we have a very long-term pipeline in the U.S., but if there are opportunities for synergies or things that we could enhance our position, we are certainly interested in looking at those things.

And there's a lot more activity in the U.S., a lot more projects, potential projects in the U.S. than there has been in the past. Many of those don't have smelters, and while people have historically thought it's not great to invest money in smelters, we already have the smelters. We already have the tank house capacity to make refined copper. We already have the concentrate leach facilities that are expandable. So we have a lot of things that could provide potential synergies. And so we'll continue to look, but we already have a very strong position in the U.S.

Q - Lawson Winder {BIO 16002509 <GO>}

Okay. Great. Thank you so much.

Operator

And our next question comes from the line of Brian MacArthur with Raymond James. Your line is open.

Q - Brian MacArthur {BIO 1506578 <GO>}

Good morning, and thank you for taking my question. You talked about earlier in Indonesia tie-up [ph] permits to the September 30, and you can use the smelter in the fourth quarter to meet your shipment this year, and you also took down your guidance for cost this year. Was that just the gold price being higher, or did you make an assumption that the 7.5% export tax went away in the fourth quarter at Indonesia because the smelter is up and running, or should I think of that duty going away as an upside as I go into 2026, or how do you see that developing?

A - Kathleen L. Quirk {BIO 6083735 <GO>}

In terms of our Indonesian costs for the year, we had projected a net credit of $0.27, and now it's $0.47. Most of that is related to the change in byproduct credits. So that's what most of it's related to. We only pay a duty on sales that are exported, concentrate sales. And so in the fourth quarter, we don't have projected to pay a duty in the fourth quarter because we're using our internal smelters. The timing may have changed from our last update, but as a whole, we only -- in our previous estimates, we only included duties for what we were exporting.

Q - Brian MacArthur {BIO 1506578 <GO>}

Great. Thanks very much. That's very clear.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you, Brian.

A - Richard C. Adkerson {BIO 1412551 <GO>}

I just want to say, Cory and his team have just done an outstanding job. It was unfortunate we had that fire. It was a force majeure event, and we had a lot of uncertainties going into dealing with the repairs, and these guys have just done an incredible job of making the progress they've made to-date.

Q - Brian MacArthur {BIO 1506578 <GO>}

Thanks very much, Richard and Kathleen.

Operator

Our last question comes from the line of Bill Peterson with JPMorgan. Your line is open.

Q - Bill Peterson {BIO 5646739 <GO>}

Yes. Hi. Good morning, team, and thanks for squeezing me in. I might have missed it, but on leaching, you're reaching your sustained 200 million per year. I guess, you saw a modest decline in the first quarter, quarter-on-quarter. Was this decline just kind of typical variability? And maybe more importantly, looking ahead, what are the key areas to improve to reach your 75 million pound quarterly rate exiting the year? I guess, how should we think about the trajectory?

A - Kathleen L. Quirk {BIO 6083735 <GO>}

In terms of getting to the 300 million pound per year run rate, we have several projects that are underway. These are not -- these don't require new technologies. This is a scaling effort of essentially scaling up what we're already doing. Some examples of that include what we call Leach Everywhere, where we already have identified areas within the stockpile that were difficult to get to physically. And so, we've come up with a way to lay the irrigation lines using helicopters that we assemble a long -- very long football field of irrigation lines, and a helicopter goes and places these irrigation lines in areas that are very hard to get to.

We are increasing the number of helicopter trips that we were doing previously. That was part of the reason why some of the projects that we had in the first quarter. We came in very close to what we thought, but we probably could have produced a little bit more if our projects had been on schedule. But by the end of the year, we're going to have more runs of helicopters, and not just at Morenci, we're starting this technique at other sites.

The other thing that we have had success with is what we call deep raffinate drilling, where instead of just letting the solutions drip from irrigation lines at the top of the stockpile, we're actually drilling and putting solution, targeted solution at strategic places within the stockpile that our data analytics and sensors have told us would benefit from more direct application of solutions. And so we've -- we and with some third-parties have figured out a way to scale the deep raffinate drilling and taking some taking some pages from what's being used in other industries, we're able to apply this deep drilling at a bigger scale.

We've got several of those in place now to -- that'll boost production in the future. We're also -- and this is separate from getting to the 300 million pounds, but we also have some trials going on with new additives that we have successfully tested in a lab and are doing it at scale in some of those strategic stockpiles. And so we've got an additive test going on now, and the results of that will be very helpful for us to guide our future. The other thing that we're doing that will help us as we look into 2026 and beyond to get to the 400 million pounds level is heat trials.

We're -- we started -- it's been proven that the hotter the temperature within these stockpiles, the better the recovery of copper. And we started with insulating the stockpiles to retain heat. And now, we've got a project to actually heat the raffinate injection, the solution that's going into the stockpiles. We've got a project at El Abra that we expect will allow us to start testing heat there in 2026. And then we've got opportunities -- big opportunities at Morenci. And one of the heat sources that we're pursuing at Morenci is geothermal steam, which would be very low cost. So there's some new technologies that we're pursuing that would help us go from 300 million pounds beyond. But to get to 300 million pounds, we feel confident we can do it with existing technologies, just doing it at scale.

Q - Bill Peterson {BIO 5646739 <GO>}

Yes. Thanks. If I can follow-up on the leaching and also the last part of your answer, I guess, in terms of the supply chain, both the raw materials, additives, equipment, heating sources. Are you using non-China sources for these, I guess, currently key projects? And I guess, on the path to 800 million pounds, are you able to achieve that with a non-China supply chain? I mean, more to the point, can you achieve this with a U.S.-based supply chain?

A - Kathleen L. Quirk {BIO 6083735 <GO>}

We are testing a variety of additives, and that's a big point of what we're looking at is, does the additive work? Number one, and is there a robust supply chain for that additive? And the answer to your question, what we've identified does not rely on China. And there is some of the product that's produced in the U.S. Some of the technology is not necessarily U.S. technology, but that's part of what we're doing is making sure that you don't just go down a path and you don't have a supply chain for this additive. And that there's efficient ways to recycle the additive as well, so you minimize the use of it.

So there are a number of things going on, but we're really excited, Bill, about the potential here. And there's no better company that can take advantage of this given, we've got 40 billion pounds of copper sitting in stockpiles that we thought was waste before. And now, we're very excited about, essentially having a new mine in the U.S., a new low-cost mine in the U.S., producing 800 million pounds a year, essentially. So it's very, very exciting.

Q - Bill Peterson {BIO 5646739 <GO>}

Terrific. And thanks again, and nice job on the quarterly execution.

Operator

Now, we will turn the call over to management for any closing remarks.

A - Kathleen L. Quirk {BIO 6083735 <GO>}

Thank you, everyone, for your participation, and we look forward to continuing to keep you updated. If you have any follow-ups, David is available to address them. Thanks so much for your attention and interest.

A - Richard C. Adkerson {BIO 1412551 <GO>}

Thank you, all.

Operator

Ladies and gentlemen, that concludes our call for today. Thank you for your participation. You may now disconnect.
